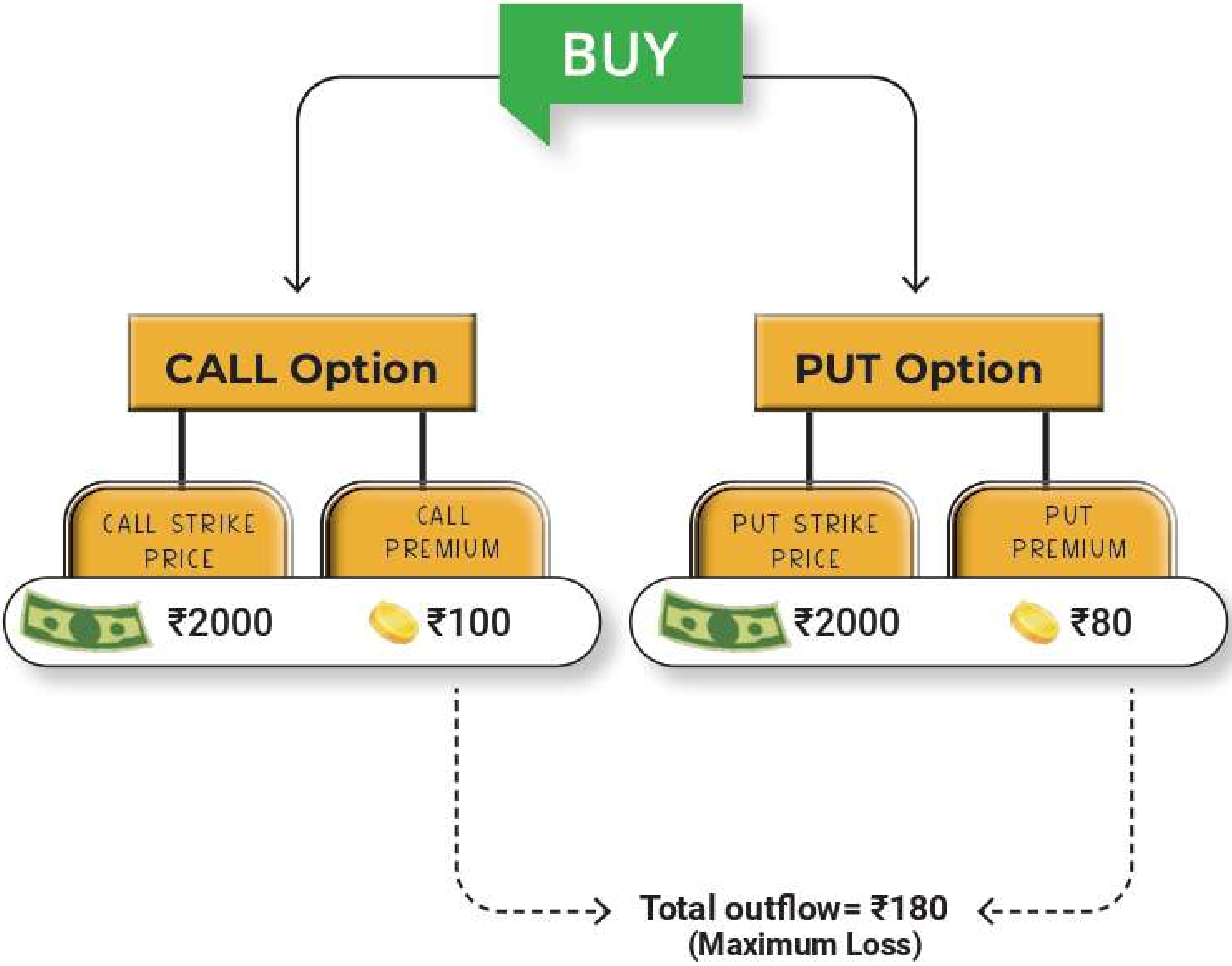
For instance, we have a stock at CMP = ₹2000.
With this, to create a straddle, we will buy a Call and a Put at a Strike Price of ₹2000.
The respective premiums for the two are,Call Premium = ₹100, Put Premium = ₹80.
The time to expiry and Lot size being the same.



Now, in this strategy, we want the price movement in the markets to be huge. The direction does not matter but high volatility does. If the price does not move more than ₹180, we would have loss. Straddle is a strtegy that is used when you expect high volatility but do not want to guess the direction. Here, if the stock moves in either direction by ₹180, the strategy will be profitable, else loss making.

We want the price movement to be beyond a range with respect to this premium amount.